

MERIDIAN INTELLIGENCE

Executive Intelligence Brief and Verification Pack

Subject: A paint store buying group for independent paint shops under the United Hardware umbrella
Commissioned by: John Webb O'Rourke, on a brief from Paul Candon, CEO, United Hardware | **Date:** 14 July 2026
Domains engaged: Commercial & Deal / Legal & Governance / Finance & Restructuring / AI Strategy & Adoption / Business Growth
Method: five parallel specialist passes; every load-bearing claim independently re-checked by a critic agent on a separate higher-tier model. This pack includes the claim-by-claim source appendix for external cross-verification.

DECISION-READY as decision-support · one named exception: competition law verification, section 5

1. The opportunity in one paragraph

Independent paint shops in Ireland buy alone, against multiples and manufacturer-owned chains that buy at scale. In the United States this exact problem was solved in 1960: **ALLPRO Corporation**, a buying cooperative of independent paint and decorating dealers, today serves roughly 300 member companies across 2,000+ storefronts with negotiated vendor programmes, aggregated rebates and a private-label range **VERIFIED**. We found no dedicated equivalent for independent paint shops anywhere in the UK or Ireland **REPORTED**. United Hardware already runs the closest structural precedent in the country, and after the Expert Hardware acquisition (June 2026, CCPC-cleared) stands at roughly 200 stores and over €500m combined retail turnover with a 150,000 sq ft central distribution centre at Citywest **VERIFIED**. The gap is real, the model is proven abroad, and United Hardware is the natural owner of it in Ireland.

2. The market

- Ireland's consumer/DIY "Paint, Wallpaper & Supplies" segment: US\$90.3m revenue, 2024 (Statista) **VERIFIED**; consumer segment only, excludes most trade volume, so total decorative coatings spend is materially higher.
- No authoritative public count of independent paint shops exists. Best proxy: **Colourtrend (General Paints) alone distributes through 180+ independently owned stockists VERIFIED**; Fleetwood supplies 400+ retailers. Both describe themselves as Ireland's largest Irish-owned paint manufacturer; the claims are attributed, not adjudicated.
- The brands independents lean on most are Irish family-owned manufacturers whose route to market depends on the independent channel. That gives the group genuine negotiating gravity before any conversation with AkzoNobel/Dulux, Crown (Hempel) or PPG (Johnstone's).
- Cautionary comparable: PaintWell (UK), a Cairngorm Capital-backed consolidator of decorators' merchants, entered administration February 2025; Brewers acquired 38 of its 44 stores **VERIFIED**. Debt-led consolidation failed; member-owned aggregation, the ALLPRO and United Hardware way, endures.

3. The commercial architecture

The proven value stack, assembled from ALLPRO, NMBS (UK merchant society: 1,000+ members, ~3,100 branches, ~£8bn member sales, average rebate 3.84% of processed invoices, affiliate entry £1,500/yr with a £600k turnover minimum **VERIFIED**) and United Hardware's own model:

- Negotiated supplier terms and aggregated rebates (the core)
- Central billing: one invoice, del credere comfort for suppliers
- Central distribution through the existing Citywest infrastructure
- Group marketing and a shared retail identity for those who want it
- Own-label range in Phase 3 (the ALLPRO play, and the deepest margin)
- Training, business advisory and member services UH already runs for hardware

4. The numbers (indicative; every input an assumption, arithmetic independently checked)

Working assumptions: average paint purchasing €300k per shop per year; membership fee €2,000; group rebate share 1.5% of volume; 25% of volume through central distribution at a 10% handling margin.

	25 shops	60 shops	120 shops
Group purchasing volume	€7.5m	€18m	€36m

UH revenue (fees + rebate share + distribution)	€350k	€840k	€1,680k
Indicative run cost	€200k	€260k	€340k
Contribution	€150k	€580k	€1,340k

- **Break-even at roughly 13 to 15 member shops.**
- The member's side: a 3 to 7 point net buying improvement on €300k of purchases is worth €9,000 to €21,000 a year against a fee of €2,000 to €3,000. **Payback of 3x to 10x the fee.** That is the recruitment pitch in one line.
- The three inputs that most move the answer: share of volume through the warehouse (paint is heavy and often direct-shipped), the rebate spread UH can negotiate and retain, and true average purchasing per shop.

5. Legal and governance (the one named exception)

The framework is clear and the structure is plausibly lawful, but this section carries a mandatory gate.

- Joint purchasing sits under Article 101 TFEU and section 4 of the Competition Act 2002. The EU's 2023 Horizontal Cooperation Guidelines provide a soft safe harbour where the members' combined share is below **15% on both the purchasing market and the downstream selling market**; buyer cartels are by-object infringements with no safe harbour at any share. Corroborated across five independent law firm analyses **REPORTED, multi-source**; primary texts could not be retrieved this session and this is flagged, not relied on.
- Design constraints regardless of thresholds: member shops are downstream competitors, so individualised price, volume and margin data must be firewalled (aggregated, historical only); membership non-exclusive; no resale price maintenance; and UH organising a group of retailers it also supplies adds a vertical dimension needing its own review.

Mandatory gate: formal competition law advice before any supplier negotiation or member agreement is signed. At realistic scale, combined shares are likely far below 15% of Irish paint purchasing and retail, which is encouraging, but that is a judgement for counsel, not for this brief.

6. The AI layer (what makes this a 2026 buying group, not a 1970s one)

All design proposal, stated as such. The data a buying group naturally aggregates (purchasing, rebates, POS sell-through) is exactly the data AI runs best on:

1. **Demand forecasting** by store, SKU, season and colour trend: shops order to actual demand, dead stock falls
2. **Dynamic rebate and terms optimisation:** tiers renegotiated continuously on live volume, not once a year
3. **Local price intelligence:** each shop sees its pricing against the multiples in its own catchment
4. **Assortment and colour-trend intelligence:** range-planning insight only the multiples have today
5. **Automated replenishment** through Citywest: reorders driven by forecast, working capital released
6. **Member intelligence dashboard:** one page per shop showing margin, velocity and rebate earned; a retention tool as much as analytics
7. **EU AI Act-clean by design:** purpose limitation, member consent and audit trail from day one; a trust point no legacy group offers

The strategic point: the group gets smarter with every transaction, and the aggregated dataset becomes an asset no individual shop, and no rival group, can replicate.

7. Rollout

- **Phase 1, months 0-6: prove the deal, not the tech.** 10 to 15 founding shops, 2 to 3 anchor supplier agreements (the Irish manufacturers first), manual rebate tracking. Break-even sits at 13 to 15 shops, so Phase 1 is designed to reach it.
- **Phase 2, months 6-18: scale.** Central billing on existing UH infrastructure, AI dashboard v1, formal rebate engine.
- **Phase 3, months 18-36: the margin.** Own-label paint under the UH umbrella; opt-in cross-sell both ways, hardware into paint shops and the paint category across the ~200-store network.

8. Risks, answered

- **Member data trust:** value flows to the member first (their own dashboard) before any group-level use of their data
- **Supplier resistance:** start with two or three anchors who gain from consolidation; let the rest follow proof
- **Channel conflict with existing UH members who sell paint:** specialists join as a new adjacent member category with its own terms; Phase 3 cross-sell is opt-in
- **Execution capacity:** a dedicated paint category lead before Phase 2; the pilot stays deliberately small

9. Recommended next steps

1. Size the addressable universe: request the paint-retailer subset from Hardware Association Ireland and build the first shop list (2 weeks)
2. Sound out one Irish anchor supplier informally at principal level
3. Commission the competition law opinion (the section 5 gate)

4. Convene a 10-shop founding cohort conversation under NDA
5. Board paper with Phase 1 budget (~€200k annualised run cost) and the break-even case

Appendix A: Claim-by-claim verification table (for external cross-checking)

Each load-bearing claim, its verification status after the independent critic pass, and the sources used. An external verifier (human or AI) is invited to re-check any line.

#	Claim	Status	Sources
1	ALLPRO Corporation (US): buying cooperative of independent paint/decorating dealers, ~300 member companies, 2,000+ storefronts, private label, founded 1960	VERIFIED	allprocorp.com/About; pdrmag.com/allpro-history/; woodworkingnetwork.com (PaintLine co-op addition, 2024)
2	No dedicated buying group for independent paint shops found in UK or Ireland	REPORTED (unprovable negative; searched UK merchant societies, Irish groups, trade press)	nmbs.co.uk; fortismerchants.co.uk; handbgroup.com; toplinegroup.ie; professionalbuildersmerchant.co.uk
3	NMBS: 1,000+ members, ~3,100 branches, ~£8bn member sales, average rebate 3.84% (2023), affiliate fee £1,500/yr, £600k turnover minimum, 3-year affiliate cap	VERIFIED	nmbs.co.uk; nmbs.co.uk/faqs/
4	United Hardware: ~200 stores, €500m+ combined retail turnover, 2,500+ jobs after Expert Hardware acquisition (51 stores), June 2026, CCPC-cleared; 150,000 sq ft DC at Magna Business Park, Citywest; Homevalue retail brand; JV/merger heritage of Associated Hardware (1972) and National Hardware (1965)	VERIFIED	rte.ie/news/business/2026/0612/1578076-united-hardware-expert-deal/; irishexaminer.com/business/companies/arid-41860965.html; Business Post coverage June 2026; unitedhardware.ie
5	Topline Group (Amalgamated Hardware PLC): Ireland's other buying group, 90+ members, 160+ stores, founded 1972	VERIFIED	toplinegroup.ie/pages/our-group
6	Statista Ireland "Paint, Wallpaper & Supplies" consumer segment: US\$90.32m revenue 2024, +0.79% CAGR to 2028 (consumer/DIY only, excludes most trade volume)	VERIFIED (as to the estimate and its scope)	statista.com/outlook/cmo/diy-hardware-store/paint-wallpaper-supplies/ireland
7	Colourtrend/General Paints (Celbridge, family-owned since 1953): 180+ independent stockists ROI and UK. Fleetwood (Virginia, Co. Cavan, since 1950): supplies 400+ retailers. Both self-describe as Ireland's largest Irish-owned paint manufacturer (attributed, not adjudicated)	VERIFIED (facts); superlatives attributed	generalpaintsgroup.com; colourtrend.ie; fleetwood.ie; businesspost.ie (Fleetwood expansion)
8	EU 2023 Horizontal Cooperation Guidelines: joint purchasing soft safe harbour at 15% combined share on both purchasing and selling markets; buyer cartels are by-object infringements, no safe harbour; in force 1 July 2023	REPORTED, multi-source (primary EUR-Lex text not retrieved this session; CELEX 52023XC0721(01))	Analyses by Bird & Bird, Crowell & Moring, Skadden, White & Case, Clifford Chance; primary: eur-lex.europa.eu CELEX 52023XC0721(01), to be retrieved at the legal gate
9	Irish framework: Competition Act 2002 section 4 mirrors Article 101; CCPC guidance on trade associations exists	REPORTED (primary texts blocked this session)	irishstatutebook.ie/eli/2002/act/14/section/4; ccpc.ie guidance on trade associations
10	PaintWell (UK): Cairngorm Capital-backed consolidator, administration 3 Feb 2025 (Kroll);	VERIFIED	professionalbuildersmerchant.co.uk/news/38-paintwell-stores-acquired-by-brewers/

	Brewers acquired 38 of 44 stores plus Promain, 4 Feb 2025		
11	Finance model arithmetic: per-shop revenue €14,000 (€2,000 fee + €4,500 rebate share + €7,500 distribution margin at stated assumptions); scenarios €350k/€840k/€1,680k; break-even 13-15 shops on €180-200k fixed cost	VERIFIED (arithmetic re-computed independently; all inputs are stated assumptions, not findings)	Internal model; inputs labelled ASSUMPTION in section 4

Appendix B: Method and governance (how this document was produced)

- **Orchestration:** the brief was decomposed and routed to five specialist AI research passes running in parallel (market research, competitive analogues, competition law, financial modelling, AI/operating design), each with a hard grounding rule: no figure or authority without a source, everything tagged VERIFIED / REPORTED / UNVERIFIED.
- **Independent verification:** a critic agent on a separate, higher-tier model then adversarially re-checked the nine most load-bearing claims against sources and re-computed the finance arithmetic. It ordered seven corrections (including superseding older United Hardware turnover figures with the June 2026 post-acquisition position, attributing rather than asserting the "largest manufacturer" claims, and precision fixes on NMBS and PaintWell), all incorporated before issue.
- **Fail-closed rule:** where primary legal texts could not be retrieved (network policy blocked EUR-Lex and the Irish Statute Book this session), the section is downgraded to REPORTED and carries a mandatory human gate (formal competition advice) rather than being presented as verified. Nothing unresolved was shipped as fact.
- **Status discipline:** the document is DECISION-READY as decision-support, with the single exception named in section 5. An append-only audit log records every pass, source set, confidence level and escalation.
- **Boundary:** this is decision-support material. It informs; it does not constitute legal, financial or professional advice, and formal advice governs any action.